SKELITE TALENT PARTNERS

Payroll & Compensation Pack

15 assets · Rs 599

Sample pages. The pages that follow are taken unedited from the pack you receive.

WHAT YOU GET

- 15 files: 10 Word documents, 5 working Excel tools
- CTC calculator with a live Code on Wages compliance check
- Salary structure templates and restructuring guide
- Payslip, payroll calendar, full and final settlement
- Variable pay and bonus calculators

WRITTEN AGAINST THE LAW AS IT STANDS

The four Labour Codes commenced 21 November 2025. Central rules followed in May 2026. Every document states the position it was written against.

SKELITE TALENT PARTNERS

Payroll & Compensation Pack — Start Here

Pack 06 — Payroll & Compensation | Ref: P06-00

Read this first. The wage-code restructuring section is the commercially urgent part.

WHY THIS PACK MATTERS MORE THAN USUAL RIGHT NOW

The Code on Wages, 2019 changed how 'wages' are defined for provident fund, gratuity and bonus. Most Indian salary structures were built to keep basic pay low and allowances high, which reduced statutory cost. That structure no longer works: excluded allowances are capped at 50% of total remuneration, and the excess counts as wages anyway. Every company with a legacy structure is now either non-compliant or paying more than it planned. That is the problem this pack solves, and it is the reason a restructuring engagement is currently one of the most saleable HR services in India.

WHAT IS INSIDE THIS PACK

#	Asset	Format	What it does
01	Salary Structure Templates	Word	Four worked structures by band, wage-code compliant
02	Monthly Payroll Checklist	Word	The 31-point process, day by day
03	Payslip Template	Word	Statutorily complete payslip with every required disclosure
04	Attendance to Payroll Workflow	Word	How hours become pay without manual error
05	Incentive Plan Templates	Word	Sales, performance and retention incentive designs
06	Full & Final Settlement	Word	Exit settlement with gratuity, leave encashment, recovery
07	Salary Revision & Increment Letters	Word	Six letter variants including promotion and correction
08	Payroll Audit Checklist	Word	Quarterly self-audit before someone else audits you
09	Code on Wages Restructuring Guide	Word	Client-facing explainer + implementation plan
10	CTC Calculator	Excel	Full compliance engine — structure, statutory cost, TDS, net pay
11	Salary Restructuring Workbook	Excel	Before/after impact model across your whole payroll
12	Payroll Calendar	Excel	Every statutory due date, monthly and annual
13	Variable Pay Calculator	Excel	Quota attainment to payout, with accelerators
14	Bonus & Incentive Tracker	Excel	Statutory bonus and scheme payouts, tracked and accrued

Fourteen assets covering all thirteen items requested, plus the restructuring workbook and client-facing guide that turn this pack into a service you can sell rather than only a template set.

START WITH THE CTC CALCULATOR

Asset 10 is the centre of this pack. Enter a target CTC and it produces a compliant structure, calculates every statutory contribution, estimates tax under both regimes and shows indicative monthly take-home. It enforces the 50% wage-definition rule automatically and warns you when a structure breaches it.

Everything else — the salary structure templates, the payslip, the settlement calculation — follows from the numbers it produces.

PREVIEW ONLY — NOT FOR USE

Full editable Word and Excel files at skelite-talent.com

SKELITE TALENT PARTNERS

Salary Structure Templates

Pack 06 — Payroll & Compensation | Ref: P06-01

Four worked structures, all compliant with the 50% wage-definition rule.

HOW TO USE THIS DOCUMENT

Field	Detail
Purpose	Provide ready salary structures at four salary levels that comply with the Code on Wages, 2019 definition of wages, are tax-efficient for the employee within the law, and are predictable in statutory cost for the employer.
When to use it	When designing a new band, restructuring an existing one, or making an offer at a level you have not hired at before.
Who should use it	HR with Finance. Reviewed by your chartered accountant before adoption.
Output	An approved structure per band, loaded into payroll.
Time to complete	One hour to adapt all four

Step-by-step instructions

1. **Start from the wage-definition rule, not from tax efficiency —** Basic + DA must be at least 50% of total remuneration. Design within that constraint first; optimise afterwards.
2. **Set basic as a percentage, not an amount —** 40–50% of CTC is the practical range. Below 50% of total remuneration excluding statutory employer contributions, you risk the excess being recharacterised as wages.
3. **Keep the structure simple —** Every additional allowance creates payroll complexity, employee confusion and audit exposure, usually for a small tax saving.
4. **Check the ESI threshold at the lower bands —** Gross above ₹21,000 per month takes the employee out of ESI, which changes both cost and benefit. Structures that sit just either side of the threshold need deliberate handling.
5. **Model the employee's net, not just the CTC —** Two structures with identical CTC can produce materially different take-home. Candidates compare net pay.
6. **Have a CA review before you roll out —** Structure design has tax consequences for both sides. One review costs a fraction of a correction.

THE RULE THAT GOVERNS EVERYTHING BELOW

Under the Code on Wages, 2019, 'wages' for statutory purposes must include basic, dearness allowance and retaining allowance, and the excluded allowances may not exceed 50% of total remuneration. Where they do, the excess is treated as wages. In practice this means Basic + DA must be at least 50% of CTC for PF, gratuity and bonus computation.

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SKELITE PREVIEW

STRUCTURE C — SENIOR BAND, ₹24 L CTC WITH VARIABLE PAY

Component	Annual (₹)	Basis
Basic salary	9,60,000	40% of CTC
House rent allowance	4,80,000	50% of basic
Special allowance	4,20,000	Balancing
Gross fixed salary	**18,60,000**	
Performance variable pay	4,00,000	At 100% achievement; not guaranteed
Total fixed + variable	**22,60,000**	
Employer PF	21,600	At the wage ceiling
Gratuity provision	46,154	Indicative
Group medical insurance	24,000	Self + dependants
Term life cover premium	18,000	
Total CTC	**23,69,754**	

A CAUTION ON THE WAGE-DEFINITION TEST AT SENIOR LEVELS

Where variable pay is large relative to fixed pay, check the 50% test against total remuneration including the variable component as actually paid. A structure that passes on fixed pay alone can fail once a large variable payout lands. This is the most commonly missed case in senior structures.

STRUCTURE D — LEADERSHIP BAND, ₹48 L CTC WITH ESOP

Component	Annual (₹)	Notes
Basic salary	19,20,000	40% of cash CTC
House rent allowance	9,60,000	
Special allowance	7,20,000	
Gross fixed	**36,00,000**	
Performance variable	9,00,000	Company and individual performance
Employer PF	21,600	At ceiling
Gratuity provision	92,308	
Insurance and benefits	86,000	Medical, term life, accident
Total cash CTC	**47,00,000**	Approximate
ESOP grant	[N] options	Stated separately — not part of CTC. See the ESOP pack

Never include a notional ESOP value inside CTC. It is not cash, its value is uncertain, and Indian candidates rightly discount it heavily when it is presented that way. State it separately and explain it properly.

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